Alvarez & Marsal Canada Inc.
Bow Valley Square 4
Suite 1110, 250 - 6th Avenue SW
Calgary, Alberta T2P 3H7
Phone: +1 403 538 7555
Fax: +1 403 538 7551

IN THE MATTER OF THE BANKRUPTCY OF
2755857 Alberta Ltd.

OF THE CITY OF CALGARY,
IN THE PROVINCE OF ALBERTA

REPORT ON THE TRUSTEE'S PRELIMINARY ADMINISTRATION

ESTATE NO. 25-3403158

August 13, 2026

Background

On July 28, 2026 (the "**Bankruptcy Date**"), 2755857 Alberta Ltd. ("**ResidualCo**") was assigned into bankruptcy by the Receiver (defined below) as authorized pursuant to the Claims Procedure Order granted by the Court of King's Bench of Alberta (the "**Court**") on February 10, 2026 (the "**Claims Procedure Order**"). Alvarez & Marsal Canada Inc. ("**A&M**") was appointed as the Licensed Insolvency Trustee (the "**Trustee**") of ResidualCo by the Official Receiver, subject to affirmation by the creditors of the Trustee's appointment or substitution of another trustee by the creditors of ResidualCo. The proceedings commenced upon ResidualCo's assignment into bankruptcy are referred to herein as the "**Bankruptcy Proceedings**". ResidualCo is now considered a bankrupt entity.

The Notice of Intention to File a Proposal and Receivership Proceedings

In late 2024, Cleo Energy Corp. ("**Cleo**") began experiencing financial difficulties due to several challenges, including declining production, insufficient capital to undertake necessary repairs, and thefts of critical infrastructure. These circumstances resulted in Cleo being unable to meet its obligations as they became due. Consequently, on December 8, 2024, Cleo filed a Notice of Intention to File a Proposal ("**NOI**") pursuant to section 50.4(1) of the *Bankruptcy and Insolvency Act,* RSC 1985, c B-3 (the "**BIA**"), and A&M was appointed as proposal trustee (the "**Proposal Trustee**") in the proceedings commenced under the NOI (the "**NOI Proceedings**").

During the NOI Proceedings, Cleo continued to operate its business while conducting a Court-approved sale and solicitation process ("**SISP**") for its oil and gas properties. Several transactions involving certain of Cleo's properties were approved and closed; however, Cleo retained a number of unsold properties (the "**Remaining Assets**") with associated liabilities and ongoing operating costs at the conclusion of the SISP. As a result, on June 2, 2025, the Court granted a Receivership Order (the "**Receivership Order**") pursuant to section 243(1) of the BIA and section 13(2) of the *Judicature Act*, RSA 2000, c J-2whereby effective June 3, 2025, A&M was appointed receiver and

manager of Cleo (the "**Receiver**") in the proceedings commenced under the Receivership Order (the "**Receivership Proceedings**").

During the Receivership Proceedings, the Receiver continued to realize on the Remaining Assets and ultimately entered into a share purchase agreement with 2698902 Alberta Corporation for the sale of the shares of Cleo, including its Remaining Assets. On November 14, 2025, the Court granted a Reverse Vesting Order (the "**RVO**") approving the transaction. The transaction subsequently closed on November 19, 2025. Pursuant to the RVO, certain excluded assets and liabilities were transferred to ResidualCo, Cleo was discharged from the Receivership Proceedings, and ResidualCo was substituted in its place.

All publicly available information with respect to the NOI Proceedings and the Receivership Proceedings, including the Proposal Trustee's and Receiver's reports, Court orders and application materials, are available on A&M's website at www.alvarezandmarsal.com/cleo (the "**Website**"). Materials relating to the Bankruptcy Proceedings can also be found on the Website.

Potential Conflict of Interest

A&M is not aware of any potential conflicts of interest with respect to it acting as Trustee in the bankruptcy of ResidualCo. As discussed, A&M currently acts as the Receiver of ResidualCo.

Conservatory & Protective Measures and Preliminary Evaluation of Assets

As at the Bankruptcy Date, the Trustee confirmed that there are no realizable assets within ResidualCo and that the ResidualCo bank account balance is $0.

The Trustee maintains a trust account with the Royal Bank of Canada, and the Receiver has guaranteed the costs associated with administering the bankruptcy of ResidualCo.

Books and Records

The Receiver currently has access to the books and records of ResidualCo. As previously discussed, the Receiver and ResidualCo will make available all books and records, as required, to the Trustee and will deliver all books and records to the Trustee once the Receiver has been discharged by the Court of its duties pursuant to the Claims Procedure Order.

Provable Claims and Secured Claims[1]

Pursuant to the Claims Procedure Order, A&M, as Receiver for ResidualCo, conducted a claims process to establish: (i) the quantum of Pre-Filing Claims as at the receivership date (June 3, 2025) attaching to the ResidualCo Funds; and (ii) the quantum of Cure Costs Claims attaching to the Purchase Price Funds (the "**Claims Procedure**"). The Claims Bar Date was 5:00 p.m. MDT on March 31, 2026.

[1] Terms not otherwise defined here are as defined in the Claims Procedure Order

As at the Bankruptcy Date and the date of this report, ResidualCo's books and records and claims filed in the Claims Procedure indicate there were total proven liabilities of approximately $11,328,703, consisting of 91 total claims, 82 unsecured claims totaling $4,514,033, 1 priority claim totaling $771,400 and 8 secured claims totaling $6,043,270.

Legal Proceedings

At the time of the bankruptcy, the Trustee is not aware of any legal proceedings against ResidualCo.

Reviewable Transactions and Preference Payments

An initial review of the books and records has been made, and no reviewable transactions or preference payments were noted.

Trustee's Intention to Act

A&M has accepted this engagement to act as Trustee, subject to affirmation by the creditors of the Trustee's appointment at the first meeting of creditors.

Anticipated Realization and Projected Distribution

There are no remaining assets available that are capable of realization to distribute for the benefit of the creditors in the Bankruptcy Proceedings. As a result, the Trustee believes there will be no recoveries to either the secured or unsecured creditors of ResidualCo.

All of which is respectfully submitted on this 13th day of August, 2026.

ALVAREZ & MARSAL CANADA INC.
In its capacity as the Licensed Insolvency Trustee
in Bankruptcy of 2755857 Alberta Ltd.
and not in its personal or corporate capacity



Orest Konowalchuk, LIT, CIRP, CPA, CA
Senior Vice President